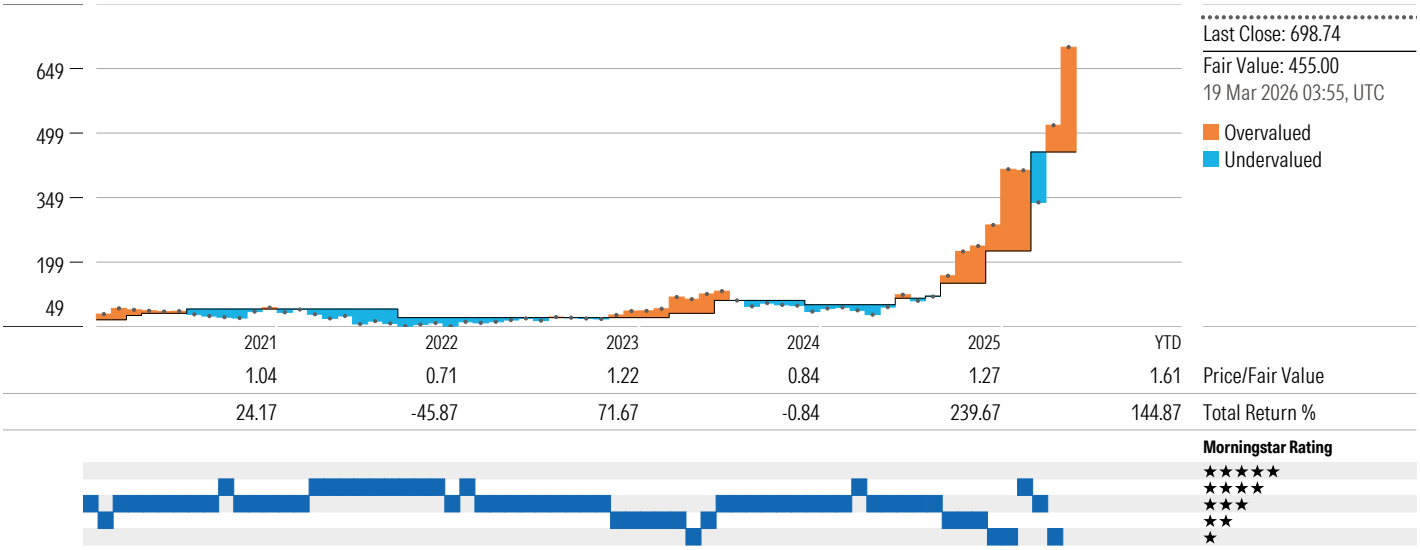
Micron Technology Inc MU ★ 20 May 2026 21:22, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
698.74 USD 19 May 2026	455.00 USD 19 Mar 2026 08:55, UTC	1.61	825.49 USD Bil 20 May 2026	None	Large Growth	High	Standard	16 May 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.04	0.71	1.22	0.84	1.27	1.61
Total Return %	24.17	-45.87	71.67	-0.84	239.67	144.87

Total Return % as of 19 May 2026. Last Close as of 19 May 2026. Fair Value as of 19 Mar 2026 03:55, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Micron Is Riding an AI Pricing Tsunami, but We Expect the Wave to Crash Longer-Term

Business Strategy & Outlook William Kerwin, CFA, Senior Equity Analyst, 12 Mar 2026

We see Micron Technology as a strong supplier of memory chips, but we don't believe the firm holds an economic moat. Micron benefits from large scale, being the fifth-largest chipmaker in the world, but we don't see enough scale to generate consistent economic profits. Micron holds a third-place market share in dynamic random access memory, or DRAM, chips and a fifth-place market share in not-and, or NAND, flash chips. We view both the DRAM and NAND markets as highly cyclical, and we expect Micron to thrive in periods of strong demand and pricing but to be vulnerable to downcycles that compress shipments, prices, and profits.

DRAM and NAND chips are vital components to data centers, consumer devices, cars, and industrial equipment. Nevertheless, we see these chips as commoditylike and suppliers like Micron producing mostly fungible chips. Thus, Micron and its peers are prone to market supply-and-demand dynamics. Periods of strong industry demand can be followed by periods of oversupply that crater pricing and firm profitability, as seen in Micron's fiscal 2023. As a vertically integrated chipmaker, Micron has a significant fixed-cost base, so periods of lower volume have a major impact on profitability.

In the medium term, we see artificial intelligence driving a strong and enduring upcycle for Micron. Micron's high-bandwidth memory, or HBM, chips supply into AI processors from the likes of Nvidia. We

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Sector
Technology

Industry
Semiconductors

Business Description

Micron is one of the largest semiconductor companies in the world, specializing in memory and storage chips. Its primary revenue stream comes from dynamic random access memory, or DRAM, and it also has minority exposure to not-and or NAND, flash chips. Micron serves a global customer base, selling chips into data centers, mobile phones, consumer electronics, and industrial and automotive applications. The firm is vertically integrated.

credit AI investments for Micron's strong growth in fiscal 2025 and they are a significant driver of our five-year forecast. We believe HBM will continue to rise as a share of Micron's total shipments and revenue, supporting growth and margins. We also like Micron's shareholder distributions and view its balance sheet as good for a cyclical memory chipmaker.

Finally, we caution investors about the risk from China. The Chinese government effectively cut off Micron's sales into Chinese data centers in 2023, which will have a material impact on sales and growth. Micron earns non-data-center revenue out of China, but we expect this to remain unrestricted, as these chips are for consumer and lagging-edge markets that are less critical to national security.

Bulls Say William Kerwin, CFA, Senior Equity Analyst, 19 Mar 2026

- When memory markets are in an upswing and demand is strong, Micron's sales growth and profitability can be impressive.
- Micron is benefiting from immense growth in HBM revenue, due to high investments in AI infrastructure. This boosts the firm's growth and margin profile.
- We like Micron's shareholder returns and view its balance sheet as strong for a cyclical firm.

Bears Say William Kerwin, CFA, Senior Equity Analyst, 19 Mar 2026

- Micron has a high fixed cost base that leaves it vulnerable to underutilization charges and major profit compression when memory markets enter a downturn.
- We see DRAM and NAND as commoditylike products, and we foresee little ability for Micron to build durable differentiation against its competitors.
- Micron is extremely sensitive to memory pricing, and weaker pricing growth in an upcycle, or a more volatile downcycle in the future, can greatly depress its results and valuation.

Economic Moat William Kerwin, CFA, Senior Equity Analyst, 15 Aug 2023

We do not believe Micron possesses an economic moat. The firm operates in the highly capital-intensive industries of DRAM and NAND flash semiconductors, and it doesn't earn good enough profit margins through the course of a cycle to give us confidence in enduring economic profits.

We view DRAM and NAND as commoditylike products prone to market supply-and-demand dynamics and steady pricing erosion that reduces industry profitability. While we see better margins in DRAM, which has consolidated to three primary players (versus six in NAND) we still don't see good enough returns on invested capital over the course of a cycle to merit a moat. We do expect to see years of positive economic profits during periods of tight supply and strong demand that help support good pricing, but we see steep downcycles giving rise to poor profitability and eroding the economic profits built up in a market upswing.

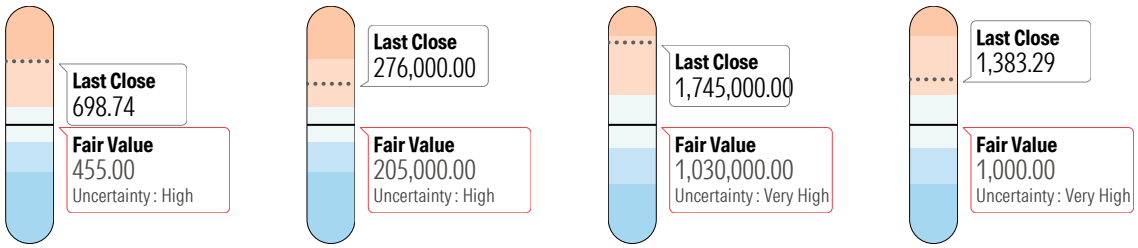
The majority of Micron's sales comes from DRAM chip sales. DRAM chips provide volatile random

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Competitors



	Micron Technology Inc MU	Samsung Electronics Co Ltd 005930	SK Hynix Inc 000660	SanDisk Corp Ordinary Shares SNDK
Economic Moat	None	None	None	None
Currency	USD	KRW	KRW	USD
Fair Value	455.00 20 May 2026 16:22, UTC	205,000.00 20 May 2026 07:30, UTC	1,030,000.00 20 May 2026 07:29, UTC	1,000.00 20 May 2026 16:54, UTC
1-Star Price	705.25	317,750.00	1,802,500.00	1,750.00
5-Star Price	273.00	123,000.00	515,000.00	500.00
Assessment	Overvalued 20 May 2026	Overvalued 20 May 2026	Overvalued 20 May 2026	Overvalued 20 May 2026
Morningstar Rating	★20 May 2026 05:00, UTC	★★20 May 2026 05:00, UTC	★★20 May 2026 05:00, UTC	★★20 May 2026 05:00, UTC
Analyst	William Kerwin, Senior Equity Analyst	Jing Jie Yu, Equity Analyst	Jing Jie Yu, Equity Analyst	William Kerwin, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	1.61	1.35	1.69	1.39
Price/Sales	14.28	4.17	9.46	16.03
Price/Book	11.40	3.85	7.52	14.92
Price/Earning	34.53	22.13	16.52	47.59
Dividend Yield	—	0.61%	0.17%	0.00%
Market Cap	825.49 Bil	1,812,371.42 Bil	1,238,696.78 Bil	206.22 Bil
52-Week Range	90.93—818.67	53,700.00—299,500.00	196,500.00—1,995,000.00	35.79—1,600.00
Investment Style	Large Growth	Large Blend	Large Growth	Large Blend

access memory, which is used to store memory during a system's operation, and only while a system is turned on. DRAM is a critical component for data center servers, computers, smartphones, and industrial applications. We see DRAM chips as commodity products, primarily sold by three suppliers—Samsung, SK Hynix, and Micron—that occupy over 90% of the market. DRAM technology generations last years, and we see the leading oligopoly players moving in step to successive generations and participating in an industry standards-setting body. DDR5 is the latest technology transition for mainstream DRAM, and while a player like Micron will cite technological leadership or being first to market, we view these chips as fungible and time-to-market differences of a quarter or two as immaterial to competitive positioning.

As a vertically integrated producer, Micron has massive capital investment needs that weigh on its returns on invested capital. The DRAM industry typically exhibits high-single-digit annual pricing declines, with the dominant players focusing not only on product advancement, but also advances in

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cost efficiency to keep up with their peers. This rapid pricing erosion makes it difficult for industry players to earn strong profits, even with large market shares. Consolidation of the DRAM industry and rational acting by players have helped improve industry margins. Still, we don't see current margin levels providing durable economic profit levels over the course of a cycle. The memory chip market is prone to bouts of undersupply that raise prices and profits, followed by gluts of supply that crater pricing. Downcycles can be severe, sometimes leading to negative returns on invested capital and negative profit margins.

Micron also has a meaningful NAND flash chip business that makes up the minority of sales. NAND flash chips provide nonvolatile memory for storage purposes. Compared with DRAM, NAND is used for longer-term storage of data for data centers and consumer hardware. NAND advancements happen at a much faster pace than those in DRAM, with suppliers putting out higher-density chip generations every 18-24 months. Similar to DRAM, while suppliers will tout technological differences like layer counts and being first to market, we view NAND chips as fungible and commoditylike among the leading players.

We view very similar dynamics in NAND as we do in DRAM: commodity products, high capital intensity, and volatile market cycles. NAND, however, is less consolidated of a market with six primary players. In our view, the more fragmented nature of the NAND market creates more volatile supply-and-demand dynamics with worse pricing and profitability in market downturns caused by oversupply. NAND is also even more capital intensive than DRAM is, which we attribute to faster advancement and shorter product generations, and exhibits steeper annual pricing declines typically in the midteens. All of this leads to a lower margin profile for NAND compared with DRAM, as well as lower returns on invested capital.

Fair Value and Profit Drivers William Kerwin, CFA, Senior Equity Analyst, 19 Mar 2026

Our fair value estimate for Micron is $455 per share. Our valuation implies a fiscal 2026 adjusted price/earnings multiple of 7 times and an enterprise value/sales multiple of 4 times. The greatest drivers to our valuation are DRAM demand and pricing growth over a large fixed cost base, with growth primarily driven by AI infrastructure investments.

We forecast Micron's results to be cyclical in the long term and note that fiscal 2023 was among the most severe downturns we've seen for the chipmaker, with supply gluts across data centers, smartphones, and PCs following the postpandemic-era demand surge. Micron was also hampered in fiscal 2023 by the loss of revenue from memory sales to Chinese data center customers, due to retaliatory measures in response to other US government restrictions.

Through 2028, we see Micron benefiting from an unprecedented cyclical upswing. We see AI-driven demand for Micron's HBM and DRAM chips as the firm's largest growth driver, going forward. After more than 60% revenue growth in fiscal 2024 and nearly 50% growth in fiscal 2025, we expect AI to

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drive 200% growth in fiscal 2026. We expect another strong year of growth in fiscal 2027. Thereafter, we model pricing to normalize, with growth slowing and peaking in 2028. In 2029, we forecast a harsh downcycle, with revenue coming down nearly 50%.

While the DRAM and NAND markets can be volatile, we view long-term trends as showing growth in bit shipments (which equates to volume) and declines in price per bit. In DRAM, we expect high-teens bit growth and low double-digit annual pricing declines over the long term. In NAND, we expect mid-teens bit growth, and roughly 15% annual pricing declines over the long term. We see HBM boosting Micron's DRAM bit growth and pricing, but for it to exhibit DRAM-like pricing declines after fiscal 2028 against robust shipment growth. Still, we observe HBM as margin-accretive, with roughly three to four times the price and only three times the cost as traditional DRAM on a per-bit basis.

Practically all of Micron's costs of sales are fixed. Despite revenue cut in half in fiscal 2023, cost of sales was roughly flat, leading to a negative 8% non-GAAP gross margin. We expect Micron to continue investing in manufacturing for the long term and gross margins to move in line with volumes. In the medium term, we see impressive gross margin reaching 80% with a high pricing across HBM, DRAM, and NAND. In the long term, we think Micron can maintain a gross margin level in the 40% to 50% range.

Micron's operating expenses are more flexible than its manufacturing costs. We forecast steady growth in research and development in the mid-single digits over the long term, and for other operating expenses to track top-line volume. Still, Micron's operating margins will be heavily dictated by its gross margins. In the current upcycle, we forecast non-GAAP operating margins rising to the low 80% range. At midcycle in the longer term, we think Micron can earn non-GAAP operating margins close to 40%. This implies a significantly higher level than historical midcycle, with Micron durably benefitting from the immense scale up it's experiencing in the current upcycle.

Risk and Uncertainty William Kerwin, CFA, Senior Equity Analyst, 21 Mar 2024

We assign Micron a Morningstar Uncertainty Rating of High. Micron's largest risk comes from its high cyclicality, in our view. As a memory chipmaker, Micron is susceptible to fluctuations in market supply and demand for commoditylike chips, and periods of oversupply can slash prices. Micron is vertically integrated with a high fixed cost base, so weak pricing can have an outsize effect on profitability, as seen in fiscal 2023.

Micron also bears risk from its China exposure, which sits at roughly 25% of sales. The Chinese government issued restrictions on Micron's sales into data centers in 2023, effectively cutting off roughly 10% of the firm's revenue. The other 15% sells into consumer electronics and autos, which we think poses less of a national security risk. Still, escalating trade tensions could see a complete barring of US-produced memory chips, or alleviated restrictions could see Micron regain its cutoff revenue.

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We see some risk from the relatively unconsolidated NAND market. We expect consolidation over the long term in NAND, and if Micron is left on the outside of consolidation, it could be left with a gap in scale relative to peers in NAND production, which could hurt its ability to reduce costs and maintain profitability.

Finally, we note some customer concentration for Micron, with roughly half of its sales coming from its top 10 customers. This concentration is mainly from distributors, and we don't expect these customers to churn. Still, losing one or more of these material customers could have a negative impact on results.

On the environmental, social, and governance front, we foresee little risk to Micron. Its primary risks would arise from its environmental footprint as a manufacturer and its ability to retain human capital.

Capital Allocation William Kerwin, CFA, Senior Equity Analyst, 24 Sep 2025

We assign Micron a Standard Morningstar Capital Allocation Rating, primarily driven by our view of fair investments. We believe Micron invests adequately to maintain its position in the DRAM and NAND markets, and we don't believe greater investment would improve its position. We see the firm adequately investing in research and development to maintain a leadership position in HBM chips. Micron targets more than 30% of sales going to capital expenditure and roughly 10% of sales to go toward research and development, both of which roughly match peers. While Micron benefited from DRAM consolidation a decade ago, we see little opportunity for acquisitions now, and we believe that shareholder distributions as a second priority to organic investment is appropriate. We see Micron's balance sheet as sound, and its distributions as appropriate. Micron is leveraged, but it holds long-dated debt and we believe its cash flow will be more than enough to cover its obligations over the long term. We also see Micron's quarterly dividend and opportunistic repurchases (in upcycle periods, typically) as a good return to investors with few other investment opportunities.

Analyst Notes Archive

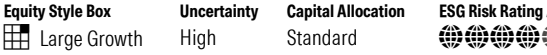
Micron Earnings: What's Past The Stratosphere? Incredible Pricing Upcycle Blows Us Away Once Again William Kerwin, CFA,Senior Equity Analyst,19 Mar 2026

Micron Technology reported astonishing February-quarter results and May-quarter guidance. February-quarter earnings beat guidance by 45%, and earnings guidance for the May quarter doubled FactSet consensus estimates. Why it matters: Tight memory supply is driving ridiculous pricing growth for Micron, boosting revenue and profitability. Micron is benefiting from a tremendous memory pricing cycle, driven by demand for artificial intelligence infrastructure. Results well eclipsed our recently raised estimates that we saw as bullish. DRAM prices rose close to 140% year over year and 65% sequentially, while NAND prices rose close to 170% year over year and nearly 80% sequentially. These rates are incredible, and we believe continued supply constraints will keep prices rising into 2027. The key debate for investors remains how long this cycle lasts and how high it goes. We still expect a peak

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between 2027 and 2028, but now anticipate it will be significantly higher, given the immense momentum in pricing growth. We still expect a precipitous downcycle thereafter, in 2029. The bottom line: We raise our fair value estimate for no-moat Micron to $455, from $270, to incorporate significantly higher short-term pricing and a much higher cyclical peak. Shares look fairly valued to us. After hours, Micron stock was modestly down, indicating that the market was already pricing in massive outperformance relative to both guidance and consensus estimates. We now believe the market is fairly valuing Micron for an immense cyclical peak, and a steep downcycle to follow. We forecast Micron to settle at $95 billion in 2030 revenues, up from $80 billion previously. To us, the stock has to be valued on both the height of the cyclical peak, and the trough of the downcycle to follow. We model 2030 as the exit, with midcycle, mid-single-digit growth to follow.

Micron: Valuation Higher Heading Into Earnings, but Long-Term Cyclicality Keeps Us on the Sidelines William Kerwin, CFA,Senior Equity Analyst,12 Mar 2026

We've updated our Micron Technology valuation and model ahead of the firm's fiscal second-quarter (ending in February) results, to be reported on March 18. Why it matters: We expect a continuing immense upcycle in memory pricing over the next two years. We expect Micron to handily beat the top ends of its guidance ranges in the February quarter, as it has done for the past few quarters. The key debate for memory investors continues to be the durability and magnitude of the current upcycle. We expect a peak in 2028, followed by a harsh downcycle in 2029, as new capacity comes online in 2027 and 2028, easing supply constraints and lowering prices. The bottom line: We raise our fair value estimate to $270, from $225, to account for stronger estimates through calendar 2028 and a higher cyclical peak. Shares look overvalued to us, having nearly quadrupled over the last 12 months and risen nearly 50% year to date. We expect revenue to more than double in fiscal 2026 and rise significantly again in fiscal 2027, along with immense gross margin expansion to 70% (up from historical midcycle around 30%). We then forecast revenue declines and margin compression toward 45% through 2029. To justify Micron's current price, we'd have to assume a stronger upcycle through 2028 and only a moderate downcycle thereafter. To us, the steep current upcycle foretells a commensurately sharp downturn thereafter, and we struggle to justify the long-term bullishness currently priced in.

Micron Earnings: Pricing Has Shot Through the Stratosphere, With No Signs of Abating Soon William Kerwin, CFA,Senior Equity Analyst,18 Dec 2025

Micron's October-quarter results were strong, and January-quarter guidance was even better. At the midpoints, management is guiding sequentially to 37% revenue growth, 1,120 basis points of gross margin expansion, and 76% EPS growth.Why it matters: Tight memory supply caused by immense artificial intelligence infrastructure demand is boosting incredible market pricing for Micron and its memory chip peers. This is driving very strong growth and profit expansion that well exceeds our previous expectations. We now expect supply to remain tight deep into 2027. High-bandwidth memory

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and traditional DRAM are critical enablers of generative AI model performance, which leads to immense demand. Simply put, supply expansion can't keep up in the short term. We expect cyclicality to endure in memory, and don't see the robust pricing environment this year lasting into the long term. This tempers our optimism, but the current cyclical upswing is generating tremendous shareholder value. The bottom line: We raise our fair value estimate for no-moat Micron to $225 per share, from $150, off the back of significantly higher growth and profit forecasts over the next two years. Shares popped 8% after hours, and look roughly fairly valued to us. We forecast revenue to more than double in fiscal 2026, and grow strongly in the double digits in fiscal 2027. We project terrific profitability across these two years, with non-GAAP gross margins reaching 70%, well above our previous views of midcycle in the mid 30% range. We continue to worry about the cycle turning down after this torrid upcycle. Micron and peers are working to build out more supply, which takes years. If supply buildouts exceed demand toward the end of the decade, it could pressure pricing, sales, and profits, as seen in historical downturns.

Micron Earnings: Impressive AI-Driven Pricing Brings Our Valuation Up to $150 William Kerwin, CFA,Senior Equity Analyst,24 Sep 2025

Micron Technology's August-quarter results exceeded its updated guidance from mid-August, with revenue rising 46% year over year to $11.3 billion. Management guided for more than 40% year-over-year growth in the October quarter. High-bandwidth memory quarterly revenue hit $2 billion.Why it matters: Micron's guidance for continuing rapid growth far exceeded our estimates, and implies a torrid rate of artificial intelligence chip investment continuing. Micron is one of two leading HBM suppliers and is gaining share against incumbent SK Hynix, which further boosts its growth. HBM chips remain heavily supply-constrained, which is buoying pricing and greatly expanding Micron's profitability. Gross margin guidance above 50% handily beat our model. A greater mix of HBM within Micron's sales going forward elevates our view of durable margins. We expect Micron to hit its HBM market share target of around 20% in the next quarter. Going forward, we see less opportunity for share gains against Hynix and improved competition from Samsung. We still expect HBM revenue to double in fiscal 2026 and rise in the double digits thereafter. The bottom line: We raise our fair value estimate for no-moat Micron to $150 from $120, as we incorporate higher DRAM pricing, led by HBM. This drives our medium-term revenue and margin estimates higher. Shares still look overvalued to us, considering longer-term memory cyclicality. We model an AI-driven DRAM upcycle in the medium term, but still see memory chips as cyclical. Longer-term, we expect more pricing pressure from competition with Hynix and Samsung to weigh on growth and profitability. We don't see Micron holding these profit levels over a five-year period. Micron shares have doubled year to date, and we see significant upside priced in, shown by a modest 3% pop after hours despite impressive guidance. Buying at current levels requires investors to believe in durable profitability at these levels, of which we're skeptical.

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Micron Technology Inc MU ★ 20 May 2026 21:22, UTC

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Micron: Positive Preearnings Announcement Reflects Robust Short-Term Pricing William Kerwin, CFA,Senior Equity Analyst,11 Aug 2025

Micron Technology raised its fiscal fourth quarter (August-end) guidance, citing stronger dynamic-random-access-memory, or dram, pricing. The new guidance implies $500 million more revenue (new midpoint $11.2 billion) and 250 basis points more non-GAAP gross margin (new midpoint 44.5%). Why it matters: Micron's initial guidance was strong already, so these higher figures reflect an even better demand environment than we'd expected. We see this driven in part by artificial intelligence data center buildouts that are supporting high demand and high pricing for Micron's high-bandwidth memory, or HBM, chips. We're impressed by the strong environment, but see the pricing support as short-term. Longer-term, we anticipate pricing to normalize and experience annual declines. We anticipate HBM to reflect more typical dram pricing dynamics starting in 2026. The bottom line: We raise our fair value estimate for no-moat Micron to $120, from $115, to reflect strong short-term pricing for dram. Long-term, we continue to expect cyclicality in results. Shares rose modestly on the preearnings announcement, and we see them as fairly valued. We anticipate a strong pricing upcycle for Micron, across dram and NAND, continuing in 2026. We model more normalized midcycle dynamics, with pricing declines partially offsetting volume growth, in 2027 for both dram and NAND. We continue to have bullish forecasts for Micron's HBM sales, which we anticipate quickly becoming a majority of total dram revenue. We forecast $6 billion in fiscal 2025 sales, more than doubling in fiscal 2026, with more than 3 times the price per bit of traditional dram.

Micron Earnings: HBM Highlights a Blowout Quarter as We Raise Our Valuation to $115 William Kerwin, CFA,Senior Equity Analyst,26 Jun 2025

Micron Technology's May-quarter results handily beat management guidance for growth and profitability. Revenue rose 37% year over year to $9.3 billion, inclusive of 50% sequential growth for high-bandwidth memory. August-quarter guidance implies continuing strong growth. Why it matters: Micron's impressive results and guidance came well above our model. Artificial intelligence is benefitting Micron on multiple fronts, with strong demand from AI chipmakers for its HBM and rising DRAM content in smartphones and PCs. Strong demand is keeping pricing robust, too. HBM revenue rose by more than 50% sequentially for the second straight quarter, and we estimate nearly $2 billion in HBM revenue in the quarter (implying 20% of total firm revenue). We believe Micron is on track for its goal of 20% HBM market share exiting fiscal 2025. HBM offers higher pricing and better profitability than Micron's traditional DRAM, so we see strong AI demand boosting both growth and profitability over the medium term. The bottom line: We raise our fair value estimate for no-moat Micron to $115, from $100, after raising our HBM and total DRAM growth estimates over the next five years. Shares still look overvalued to us—in our view, they don't reflect the long-term cyclicality we expect from Micron's results. We expect a tremendous cyclical upswing over the next two to three years, but we don't think AI

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is eliminating cyclicality for Micron. While demand looks strong, a misalignment of supply with demand in the long term can lead to a cyclical downswing, as investors saw in 2023. We now expect $6 billion in HBM revenue for Micron in fiscal 2025 (ending in August,) rising toward $30 billion by the end of the decade. Our forecast implies HBM quickly becoming Micron's most meaningful driver in the next three years.

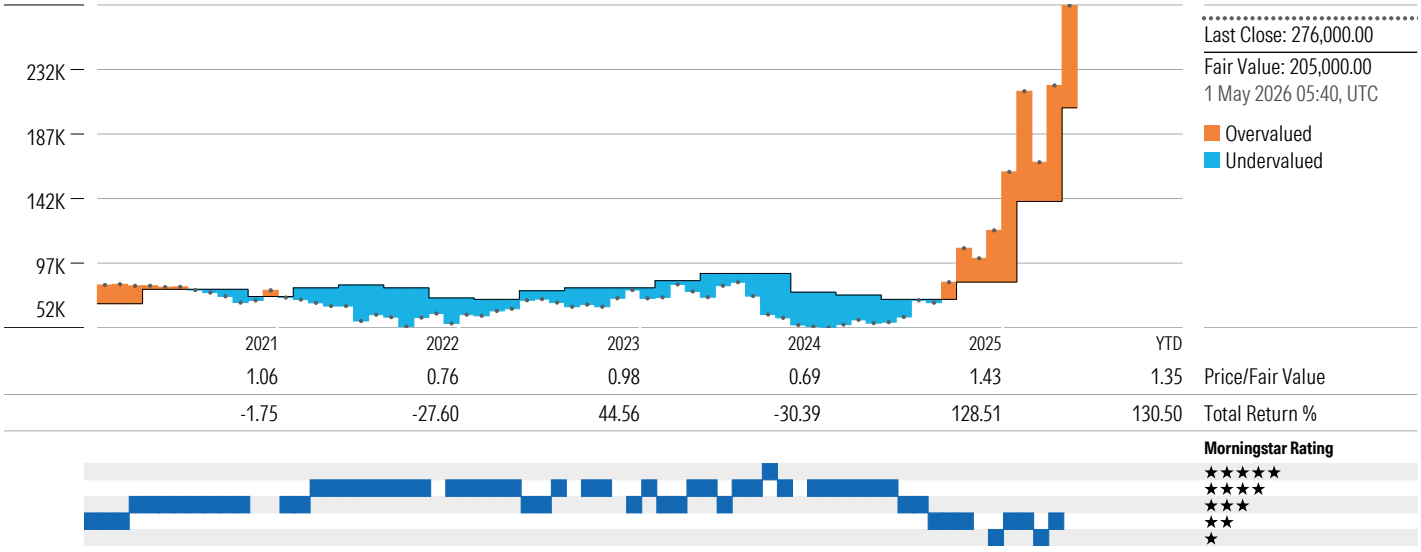
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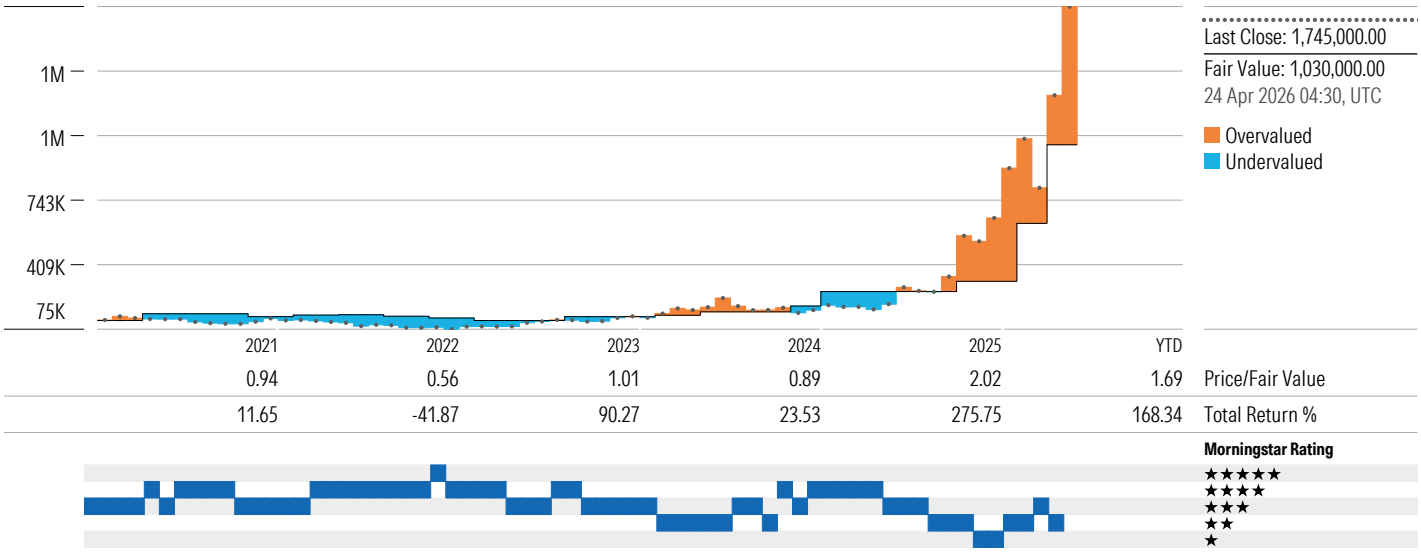
Competitors Price vs. Fair Value

Samsung Electronics Co Ltd 005930



Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 1 May 2026 05:40, UTC.

SK Hynix Inc 000660



Total Return % as of 20 May 2026. Last Close as of 20 May 2026. Fair Value as of 24 Apr 2026 04:30, UTC.

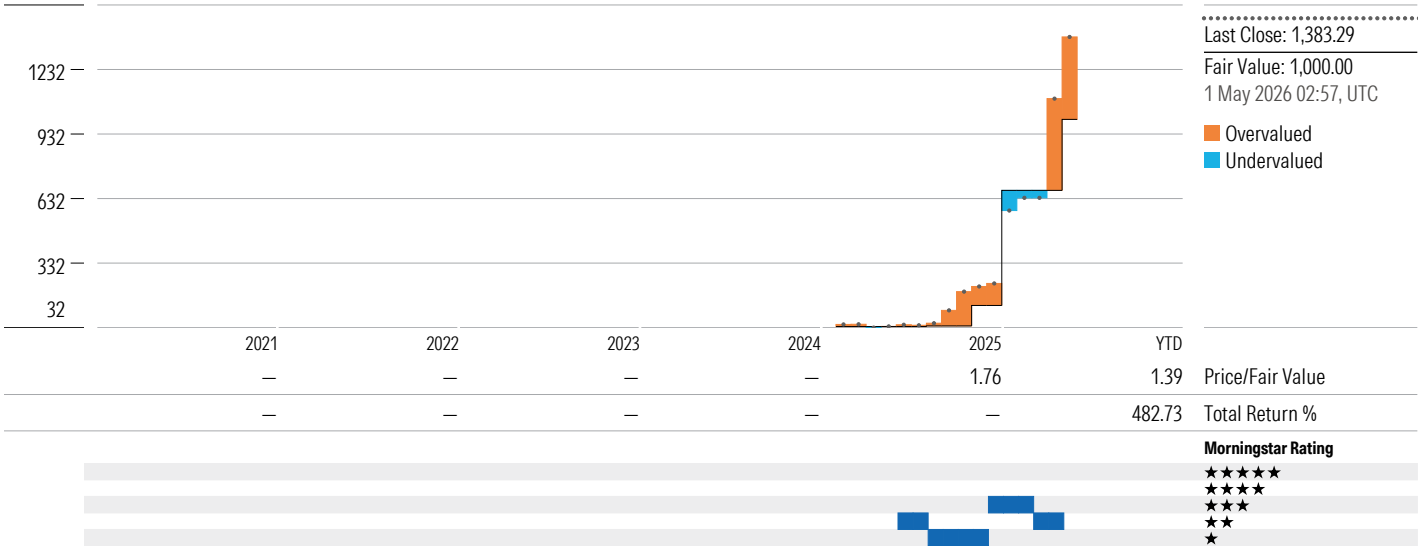
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Competitors Price vs. Fair Value

SanDisk Corp Ordinary Shares SNDK



Total Return % as of 19 May 2026. Last Close as of 19 May 2026. Fair Value as of 1 May 2026 02:57, UTC.

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Morningstar Valuation Model Summary

Financials as of 18 Mar 2026

Fiscal Year, ends 31 Aug	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	15,540	25,111	37,378	115,488	197,994	185,106	96,554	94,982
Operating Income (USD Mil)	-5,450	1,054	9,870	83,270	158,416	133,986	44,132	37,119
EBITDA (USD Mil)	2,011	9,084	18,122	93,675	172,304	150,643	63,329	57,902
Adjusted EBITDA (USD Mil)	2,937	9,715	19,198	94,958	173,794	152,353	65,309	60,102
Net Income (USD Mil)	-5,833	778	8,539	70,631	133,147	110,926	35,866	30,253
Adjusted Net Income (USD Mil)	-4,864	1,453	9,326	70,737	132,866	111,151	37,342	32,015
Free Cash Flow To The Firm (USD Mil)	-7,992	-73	945	40,003	84,997	93,547	43,935	24,950
Weighted Average Diluted Shares Outstanding (Mil)	1,093	1,118	1,125	1,129	1,126	1,122	1,112	1,096
Earnings Per Share (Diluted) (USD)	-5.34	0.70	7.59	62.54	118.26	98.85	32.25	27.59
Adjusted Earnings Per Share (Diluted) (USD)	-4.45	1.30	8.29	62.63	118.01	99.05	33.58	29.20
Dividends Per Share (USD)	0.46	0.46	0.46	0.53	0.65	0.75	0.95	1.15

Margins & Returns as of 18 Mar 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	-1.9	-35.1	4.2	26.4	72.1	80.0	72.4	45.7	39.1	61.8
EBITDA Margin %	—	12.9	36.2	48.5	81.1	87.0	81.4	65.6	61.0	—
Adjusted EBITDA Margin %	—	18.9	38.7	51.4	82.2	87.8	82.3	67.6	63.3	76.6
Net Margin %	-3.9	-37.5	3.1	22.8	61.2	67.3	59.9	37.2	31.9	51.5
Adjusted Net Margin %	-0.2	-31.3	5.8	25.0	61.3	67.1	60.1	38.7	33.7	52.2
Free Cash Flow To The Firm Margin %	-16.4	-51.4	-0.3	2.5	34.6	42.9	50.5	45.5	26.3	40.0

Growth & Ratios as of 18 Mar 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	6.7	-49.5	61.6	48.9	209.0	71.4	-6.5	-47.8	-1.6	20.5
Operating Income Growth %	0.5	-156.1	-119.3	836.4	743.7	90.2	-15.4	-67.1	-15.9	30.3
EBITDA Growth %	121.1	-88.0	351.7	99.5	416.9	83.9	-12.6	-58.0	-8.6	84.3
Adjusted EBITDA Growth %	3.3	-83.1	230.8	97.6	394.6	83.0	-12.3	-57.1	-8.0	25.6
Earnings Per Share Growth %	-0.7	-168.9	-113.1	984.3	723.9	89.1	-16.4	-67.4	-14.4	29.5
Adjusted Earnings Per Share Growth %	-0.7	-153.3	-129.2	537.7	655.5	88.4	-16.1	-66.1	-13.0	29.5

Valuation as of 18 Mar 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	-15.7	74.0	14.4	11.7	6.2	7.4	21.8	25.1
Price/Sales	4.9	4.2	3.6	7.1	4.2	4.5	8.5	8.7
Price/Book	1.7	2.4	2.5	6.7	3.3	2.3	2.1	2.0
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	27.3	11.5	7.2	8.7	4.7	5.4	12.6	13.7
EV/EBIT	-14.7	106.5	14.1	9.9	5.2	6.1	18.6	22.1
Dividend Yield %	0.7	0.5	0.4	0.1	0.1	0.1	0.1	0.2
Dividend Payout %	-10.3	35.4	5.6	0.9	0.5	0.8	2.8	3.9
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 18 Mar 2026

Fiscal Year, ends 31 Aug	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	-9.1	1.1	10.3	45.6	46.4	28.0	8.6	6.9
ROE %	-13.2	1.7	15.8	57.6	52.6	30.7	9.3	7.5
ROIC %	-7.9	2.5	14.4	85.1	100.3	65.8	22.0	18.9

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Aug	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	15.4	11.6	10.3	2.6	2.3	2.0	1.5	1.3
Assets/Equity	1.5	1.5	1.5	1.3	1.1	1.1	1.1	1.1
Net Debt/EBITDA	2.2	0.6	0.3	-0.3	-0.6	-1.3	-3.7	-4.3
Total Debt/EBITDA	4.7	1.4	0.8	0.1	0.1	0.1	0.2	0.2
EBITDA/ Net Interest Expense	-33.8	151.8	165.5	312.4	-1,737.9	507.8	268.5	795.3

Forecast Revisions as of 18 Mar 2026	2026		2027		2028	
Prior data as of 12 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	455.00	270.47	—	—	—	—
Revenue (USD Mil)	115,488	82,851	197,994	116,185	185,106	112,014
Operating Income (USD Mil)	83,270	49,372	158,416	74,664	133,986	63,033
EBITDA (USD Mil)	94,958	60,729	173,794	90,435	152,353	80,832
Net Income (USD Mil)	70,737	41,720	132,866	63,797	111,151	53,993
Earnings Per Share (Diluted) (USD)	62.54	36.48	118.26	56.09	98.85	47.14
Adjusted Earnings Per Share (Diluted) (USD)	62.63	37.00	118.01	56.93	99.05	48.39
Dividends Per Share (USD)	0.53	0.46	0.65	0.46	0.75	0.50

Key Valuation Drivers as of 18 Mar 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	18.0
Stage II EBI Growth Rate %	5.0
Stage II Investment Rate %	20.0
Perpetuity Year	10

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 18 Mar 2026

	USD Mil
Present Value Stage I	226,996
Present Value Stage II	71,266
Present Value Stage III	195,733
Total Firm Value	**493,996**
Cash and Equivalents	10,307
Debt	14,577
Other Adjustments	0
Equity Value	**489,726**
Projected Diluted Shares	1,128
Fair Value per Share (USD)	**455.00**

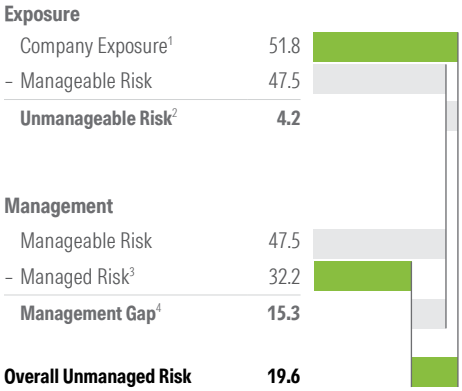
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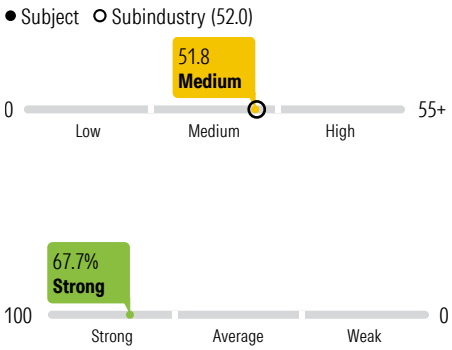
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 67.7% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 16, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Semiconductor Design and Manufacturing. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 16 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Micron Technology Inc	51.8 | Medium	0	55+	67.7 | Strong	100	0	19.6 | Low	0	40+
SanDisk Corp	32.0 | Low	0	55+	48.5 | Average	100	0	17.4 | Low	0	40+
Analog Devices Inc	44.1 | Medium	0	55+	61.1 | Strong	100	0	19.0 | Low	0	40+
Samsung Electronics Co Ltd	37.5 | Medium	0	55+	71.5 | Strong	100	0	12.6 | Low	0	40+
SK Hynix Inc	52.9 | Medium	0	55+	71.9 | Strong	100	0	17.9 | Low	0	40+

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Appendix

Historical Morningstar Rating

Micron Technology Inc MU 20 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★	★★★	★★★★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★	★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★

Samsung Electronics Co Ltd 005930 20 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★	★★	★★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
—	★★	★★	★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★

SK Hynix Inc 000660 20 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★★★	★★	★★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★★	★★	★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★★	★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★	★★★

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SanDisk Corp Ordinary Shares SNDK 20 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★	★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★	★	★★	★★	—	—	—	—	—	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

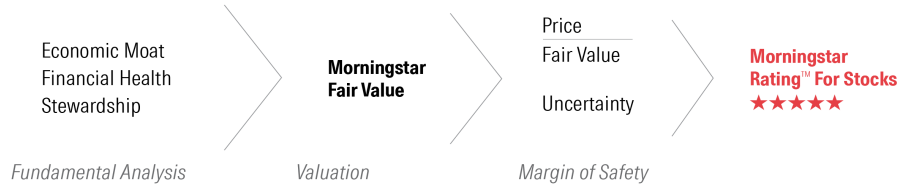
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

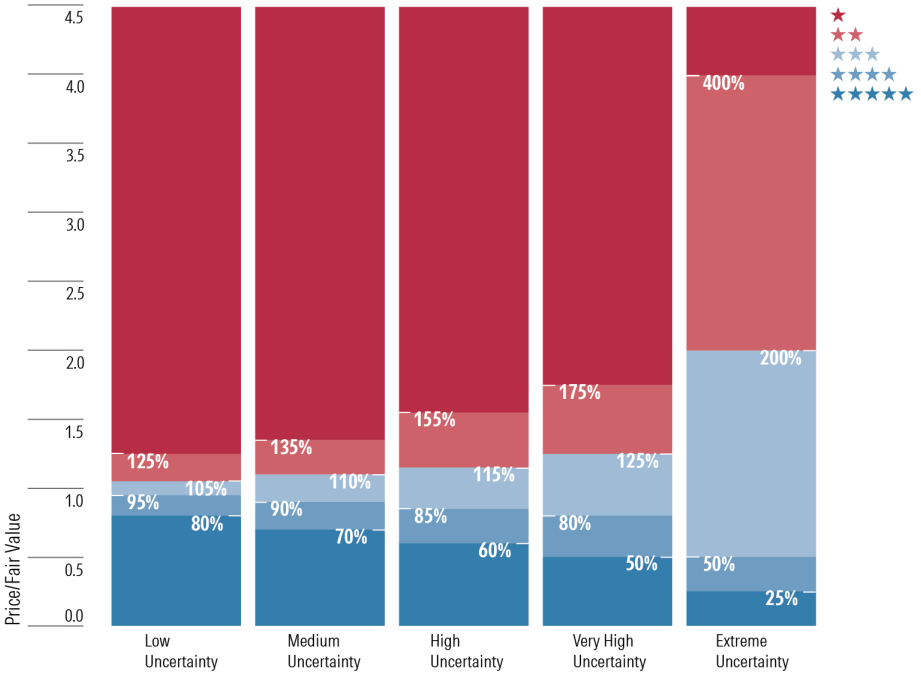
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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